

Eximius'2023

Creative Commerce Case Competition

Expansion into the Sustainable Corporate Gifting Niche

TEAM FOUR-SIGHT CONSULTING

ANANYA BHALLA

BHAVIKA RAJORA

JYOTIKA MALHOTRA

PARTH KHANNA

WITH OUR STRATEGY, CRAFTOPIA IS SET TO ACHIEVE ENHANCED VISIBILITY AND IMPROVED SALES

Examining the present situation of Craftopia and appraising the three prospective solutions



OBJECTIVES	POTENTIAL SOLUTIONS	PARAMETERS OF ASSESSMENT			DECISION
Promoting sustainable Living, providing livelihood opportunities Recovering the slow growth sales trend Enhancing visibility	 Designing new products Conduct market research, collaborate with designers, and offer limited editions to meet diverse customer wants.	Degree of Impact Due to optimum product mix	Investment Required For designing new products	Complexity of the solution Assessing the dynamic market needs	2
	 Expanding into new markets Assessing attractiveness based on past growth trends of new markets & adopting a niche to cater to specialized needs.	To develop a specialised niche	To delve into a new market prospect	Due to corporate gifting being a growing trend	1
	 Cutting costs Streamline production, source sustainably, and invest in artisan training to improve efficiency and reduce wastage.	As costs have to be incurred for operations	Better technology required to maintain quality	To understand the multitude of cost cutting prospects	3

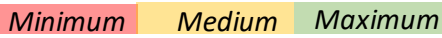
OPTION 2: EXPANDING INTO NEW MARKETS



OUR SOLUTION – SUSTAINABLE CORPORATE GIFTING



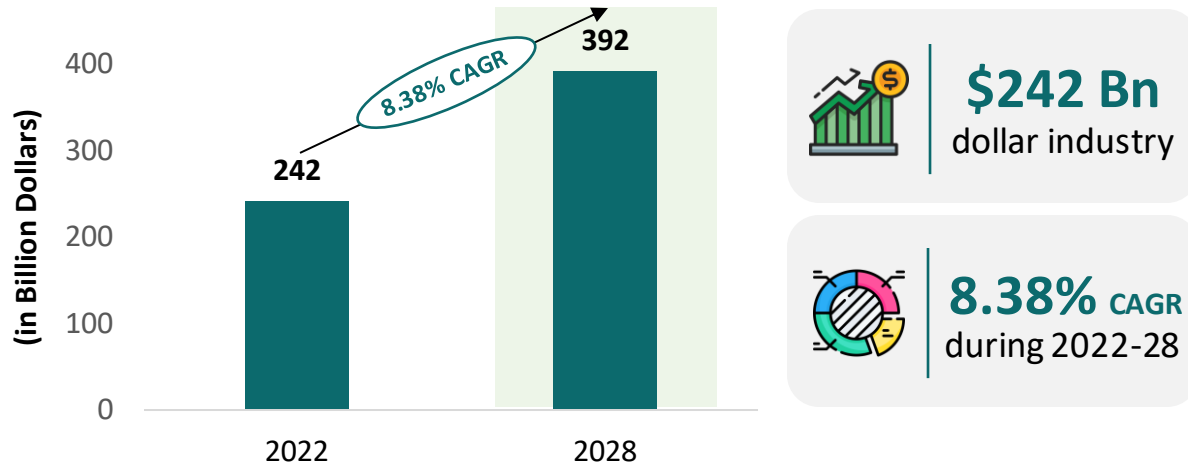
Desirability



INDUSTRY ANALYSIS: CORPORATE GIFTING INDUSTRY (1/2)

The industry has seen a substantial amount of growth in the past and poses a promising future outlook

VENTURING INTO THE CORPORATE GIFTING NICHE: AN EMERGING B2B OPPORTUNITY



PANDEMIC INDUCED GROWING TRENDS...

Pandemic increased both the frequency of gift giving as well as the amount spent on corporate gifts making employee retention a priority.



With the global work landscape shifting to **hybrid & remote models**, corporate gifting has evolved as a mechanism for businesses to stay connected.

Sources: BusinessWorld, Techsciresearch Report, Coresight Survey, KPMG

INDIA'S EMERGING POTENTIAL IN THE INDUSTRY...



The **Asia-Pacific region** presented the **highest growth opportunities** in the corporate gifting sector.

8/10

8 out of 10 employees want to buy environmentally-friendly gifts that send a positive message. (survey by KPMG)

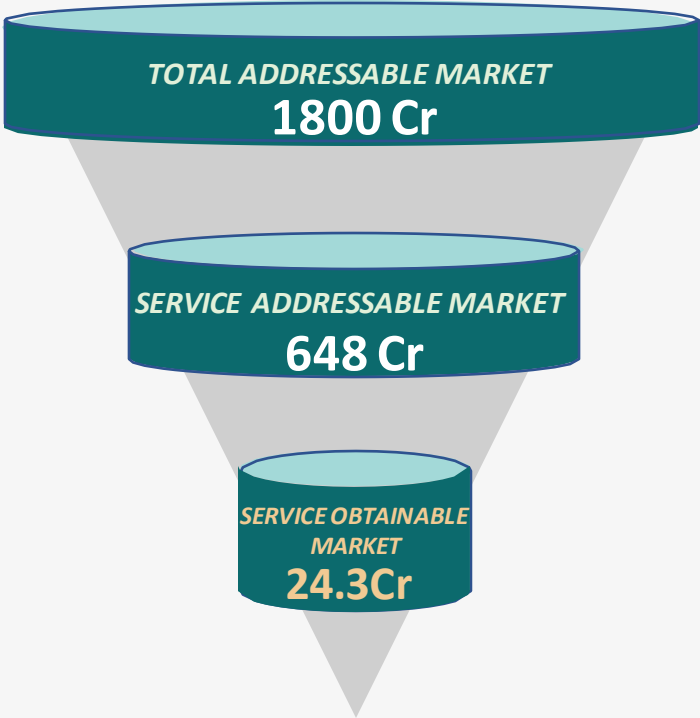
Sustainable Development Goals met...



INDUSTRY ANALYSIS: CORPORATE GIFTING INDUSTRY (2/2)

The industry has seen a substantial amount of growth in the past and poses a promising future outlook

Devising an Obtainable Market Size for Craftopia's corporate-gifting business



Refer to Appendix

ANALYSING MARKET FOR CORPORATE GIFTING

Sources: Coresight Research Survey, Team Analysis, Indian Gifting Market

Limited expansion of players in the Indian corporate gifting market as assessed by our market analysis

Market Positioning: Competitors in India



According to current market trends and competitive situation, lucrative to enter however lacks barriers to entry



The above conclusions show that Craftopia has a **first mover advantage** in sustainable corporate gifting

CRAFTOPIA’S POTENTIAL IN CORPORATE GIFTING UNDER GOVERNMENT REGULATIONS

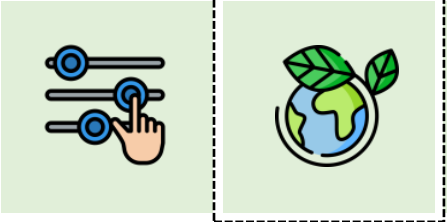
Assessing Craftopia’s strategy to venture into sustainable corporate gifting under government Acts and guidelines



KEY TAKEAWAYS

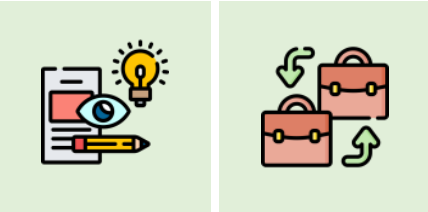
Key Metrics for success in the Corporate Gifting Industry

Sustainability



Personalization

Branding



Focus on B2B

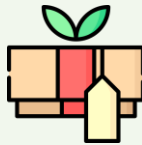
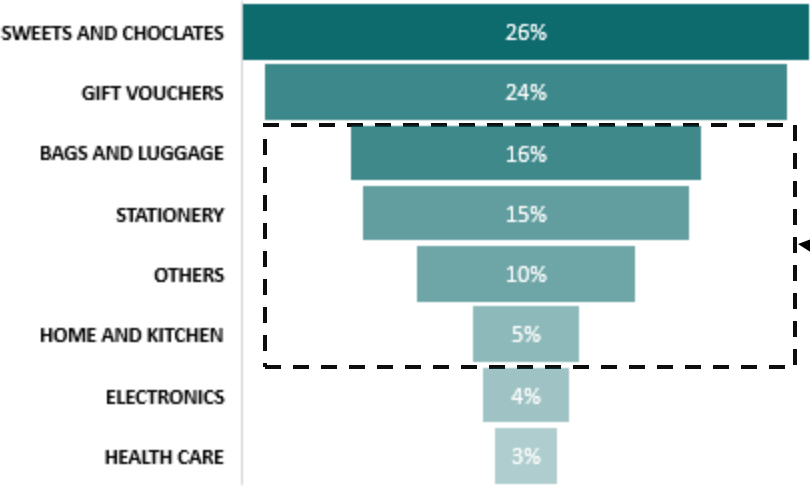


Quality

Sustainability being a key metric for success in the industry, aligns with Craftopia's goal to **manage waste**, especially non-biodegradable and hard-to-recycle plastic and create **sustainable upcycled products**.

PRODUCT OFFERINGS

Most gifted products to corporates



Craftopia's **existing product mix** aligns perfectly with corporate gifting needs and trends, offering **upcycled fashion and home furnishing items**.

UNDERSTANDING THE GOVERNMENT REGULATIONS AND LEGAL ENVIRONMENT



Rs 5,000

In India, the **limit for gifts is Rs. 5,000**, which is around \$68. According to the income tax laws, gifts received from an employer will **not be taxable** if their value does not exceed Rs 5,000 in a given financial year. However, bonuses (irrespective of the amount received) will also be taxable under the head salaries.

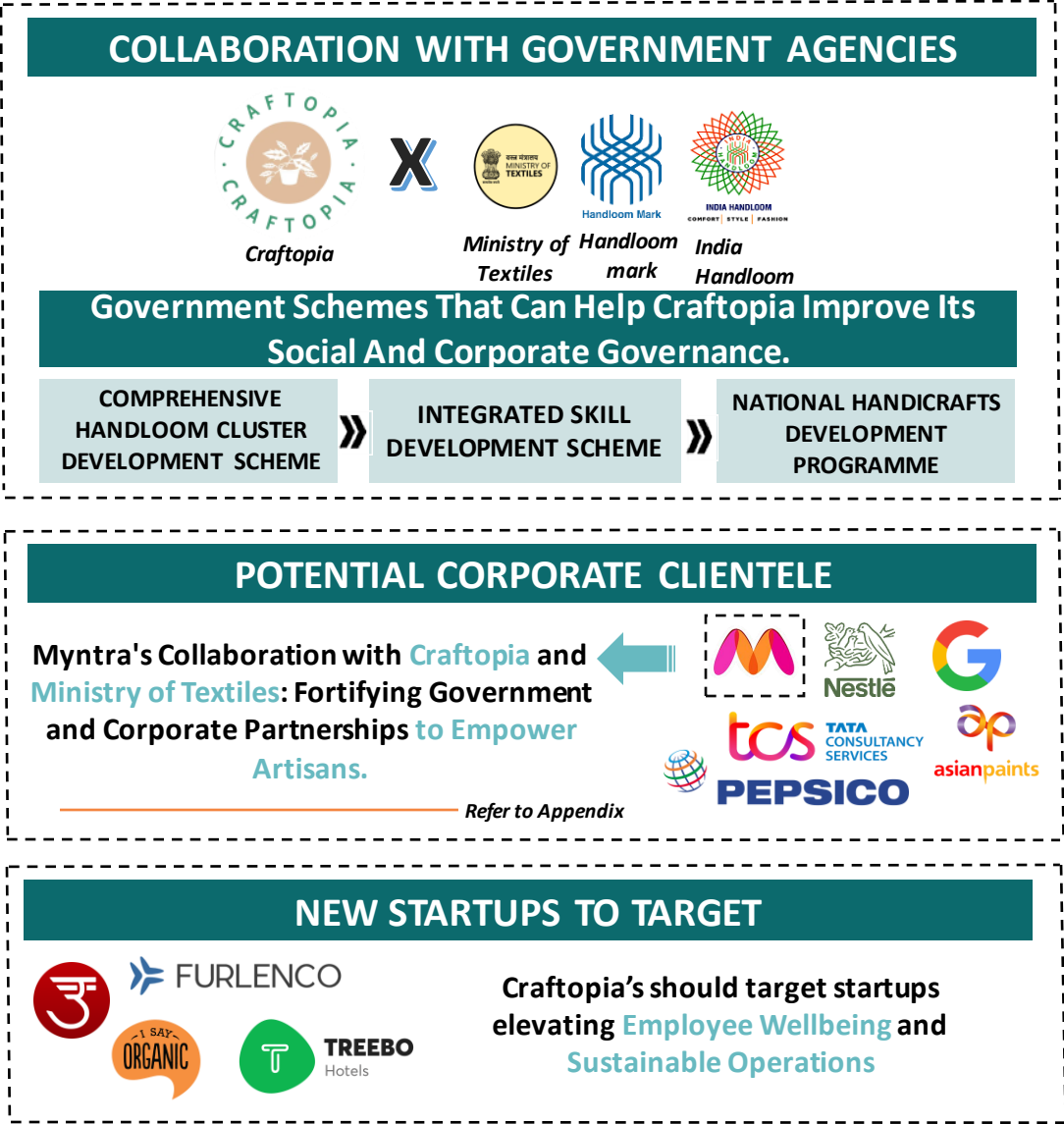
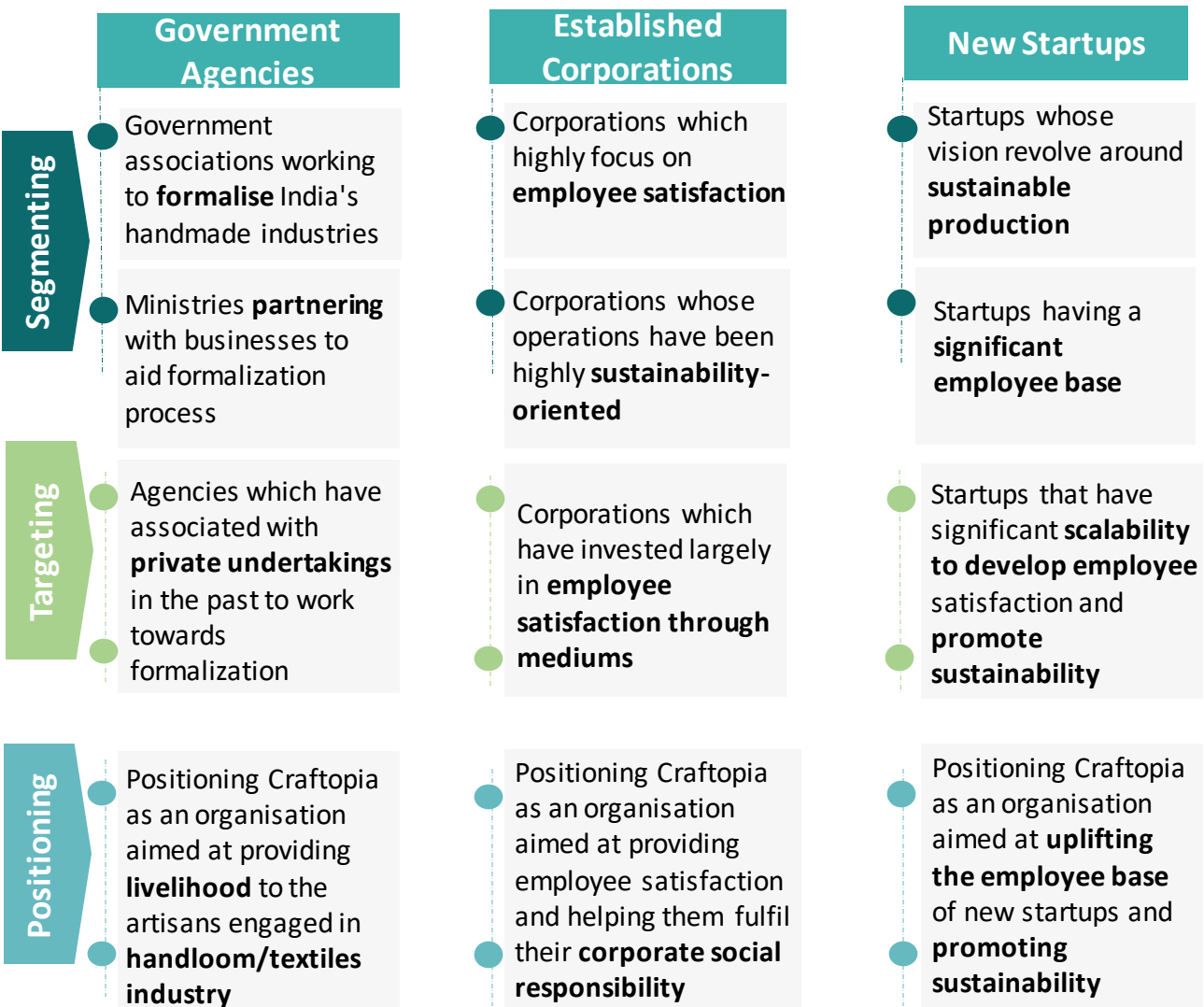


Apart from the **Companies Act**, the **SEBI** mandates that companies listed on the stock exchange must provide a **Business Responsibility and Sustainability Report (BRSR)**, which outlines their **CSR activities**. Being part of Craftopia’s circular economy model as well as its initiative for upliftment of the underprivileged will help corporations to improve CSR.

Sources: e-Yantra CXO report, Economic Times, SwagEazy

STP Analysis to Cater to Three Spheres of Potential Clientele

Strategy To Effectively Address The Distinct Needs And Preferences Of Three Distinct Groups Of Potential Clients



Sources: ISDS, NHDP report

THE FORMATION OF A CIRCULAR ECONOMY

Emphasising circular economy with our strategy to strengthen Craftopia's path to sustainability

A PATH TOWARDS CIRCULAR ECONOMY..

3 C MODEL

Upcycled Product Creation

- Utilize discarded plastic to create innovative, one-of-a-kind items.
- Collaborate with clients to personalize products according to their preferences

Plastic Collection and Incentives

- Forge partnerships with clients to establish convenient plastic collection points.
- Motivate engagement by offering compelling incentives such as discounts on future orders.**

Eco-Friendly Packaging & Delivery

- Embrace **eco-friendly packaging materials to reduce environmental impact.**
- Guarantee punctuality , reflecting our dedication to both eco-consciousness and reliability.

Recycling and Circular Process

- Transform plastic into new products. showcasing how their contributions have enabled a **closed-loop cycle of sustainability**, wherein the **same plastic they provide comes full circle to create new, valuable upcycled products.**

Collaboration with Myntra:
Exclusive e-gift shopping card for an experiential gifting

Customizable Themes:
Pre-defined or personalized themes for thoughtful gifting.

Product Customization:
Tailor offerings to reflect recipients' style and preferences.

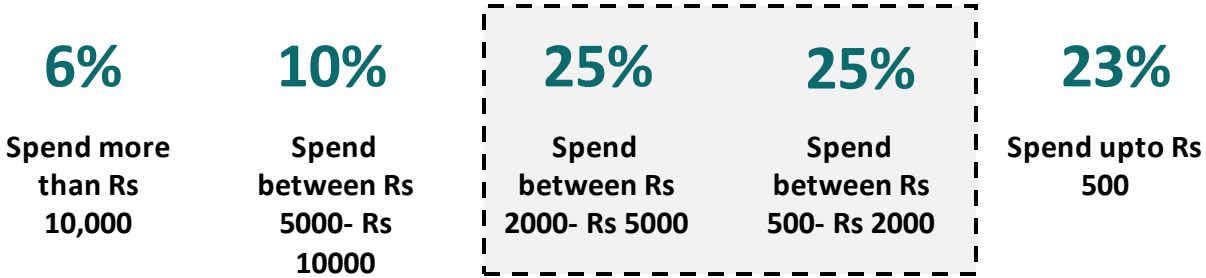
FINANCIAL ANALYSIS : Target Pricing and IRR Comparison(1/2)

Based on the industry's AOV and intended Profit Margin, Craftopia's COGS and IRR comparison with Startup X



EXPENDITURE ON AN EMPLOYEE'S GIFTS : Annual spending by companies on corporate gifts

Based on a Coresight Research survey

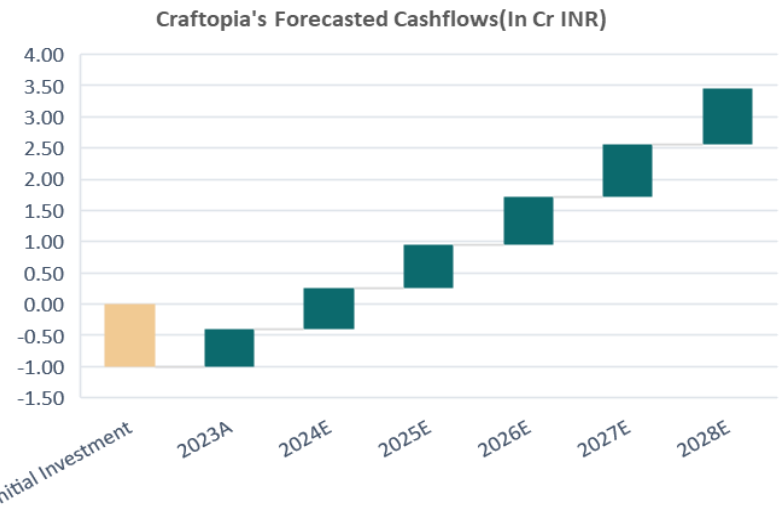


MOVING FROM COST PLUS PRICING MODEL TO TARGET PRICING..



Craftopia's Target pricing is based on sentiment analysis of the industry's **Average Order Value(AOV)**. We have targeted the **Rs 2000 price point** to deduce a COGS with an intended gross **profit margin of 40%**

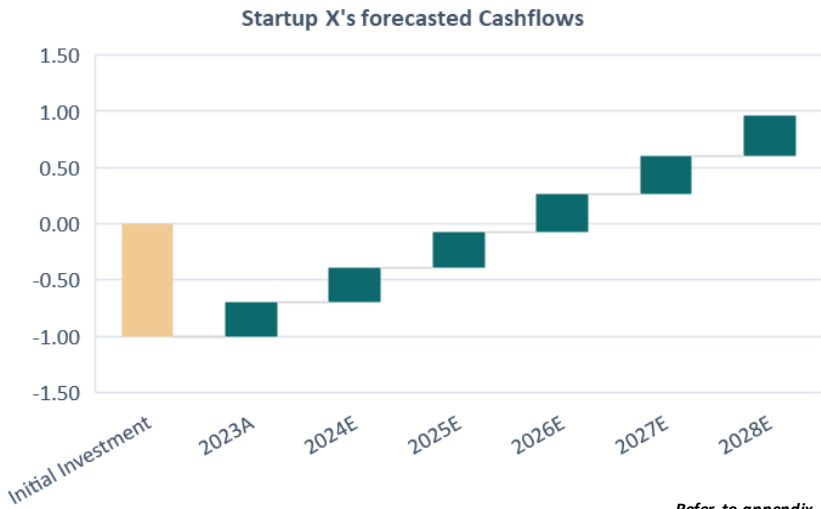
CRAFTOPIA - A VALUABLE INVESTEMENT IN THE GIFTING SPACE



Better IRR, more valuable

CRAFTOPIA'S
Internal rate of
return
of
63%
(FY28)

STARTUP X'S
Internal rate of
return
of
23%
(FY28)



Sources: BusinessWorld, Techsciresearch Report, Coresight Survey, KPMG

Refer to appendix

FUTURE OUTLOOK OF OUR SUGGESTED STRATEGY FOR CRAFTOPIA

Adopting a niche to enhance CRM and focusing on innovation and personalization will ensure continuous growth

UNDERSTANDING THROUGH AN EXAMPLE



Asian Paints makes a purchase on Craftopia's website in their recent expansion into the corporate gifting vertical.

STEP 1 : ORDER PLACEMENT



Asian Paints, sets a budget, **decides the price range** and chooses from a **pre-made package** of products or **customizes its own virtual swag pack**

STEP 2 : CRM INTEGRATION



Asian Paints **provides personal details** of its employees which can be used to manage recipient data and optimize personalized offerings

STEP 3 : AUTOMATED TRIGGER



Craftopia then serves as a medium which can schedule and automate timely and special occasion gifting eliminating manual intervention and efforts

STEP 4 : PAY FOR CHOSEN GIFTS ONLY



The employees can select from bundled offering, and customize them **without viewing prices**. Asian Paints covers costs based on selections only

Sources: Forbes, Coresight Research Survey, KPMG, Indian Gifting Market

A PATH TOWARDS SUSTAINABLE SOLUTIONS..

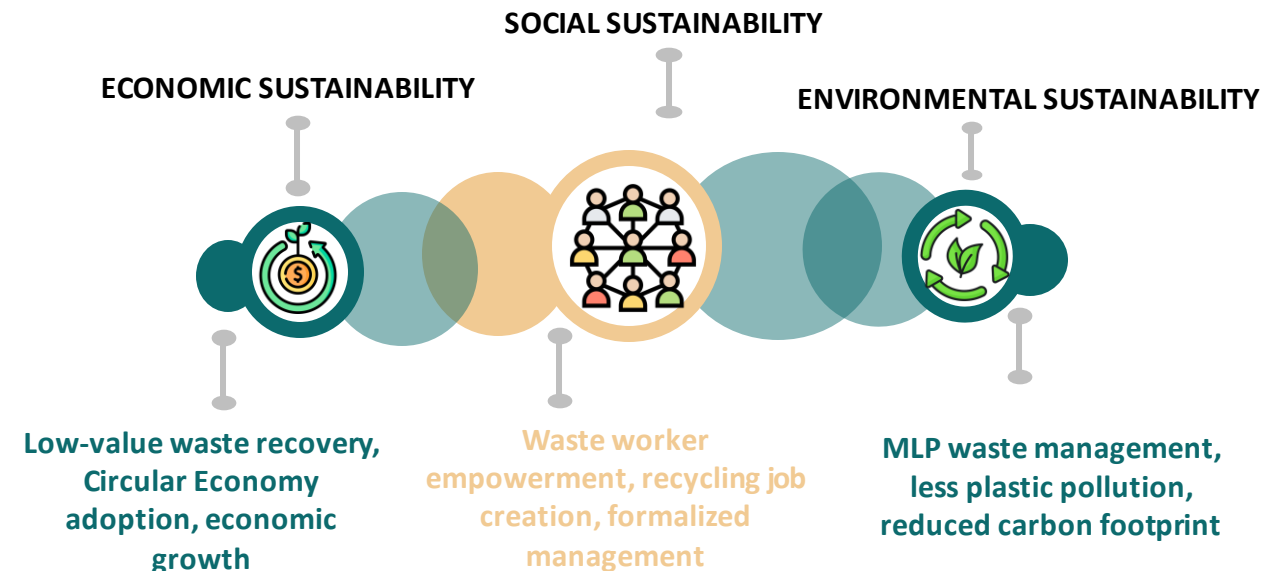


Multi-Layered Plastic (MLP) is a **plastic packaging material** often used for food items such as chips etc. ,but its low value and non-recyclable properties compared to other plastics **leads to** poor waste management and **environmental litter**.



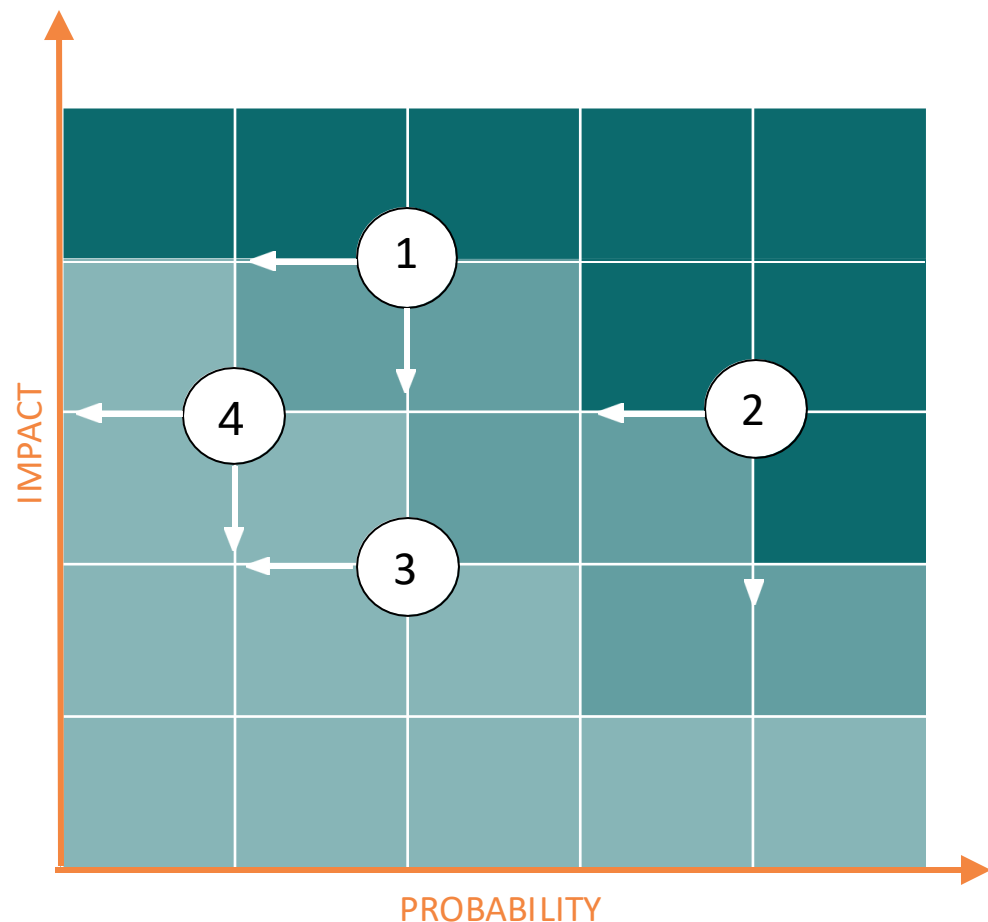
Repurposing low-value multi layer plastics into eco-brick, for crafting various existing products produced by Craftopia like stationery etc which are then **branded and sold as corporate gifts**

DECODING THE BENEFITS



RISK MITIGATION STRATEGY FOR CRAFTOPIA IN THE CURRENT SCENARIO

Suitable Strategies to help Craftopia preemptively tackle unanticipated risks due to external and operational factors



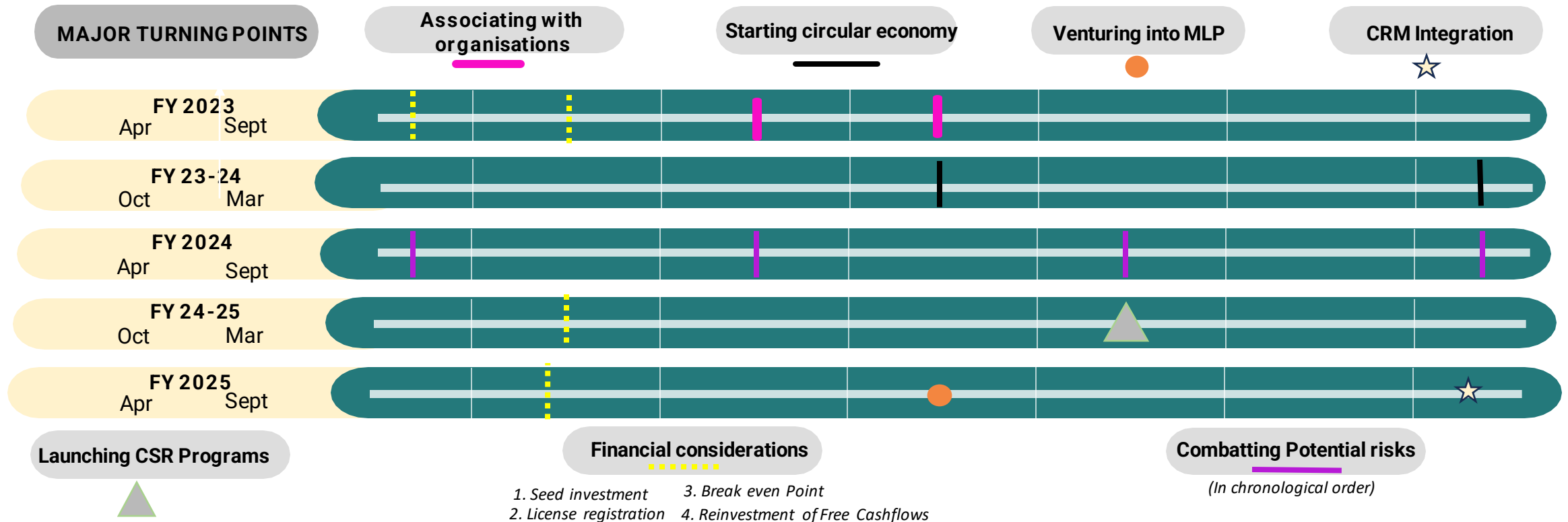
	RISK	EXPLANATION	MITIGATION	KPIs
1	Supply Chain Disruptions	Due to a comprehensive product mix and adopting a niche specialisation	Diversify suppliers for raw materials to reduce dependency - Develop relationships with multiple suppliers	Formalised workforce of artisans due to collaboration with government
2	Quality Control Issues	Due to the sustainable materials used for production	- Implement strict quality control processes for raw materials - Regularly test product quality	Our Unique Selling Point of Personalised Corporate Gifting made out of sustainable materials
3	Market Competition	Existence of businesses in the sustainable products market	- Focus on unique value propositions like craftsmanship and sustainability - Continuously innovate and expand product range	Unique strategy to align us with government policy and leverage brand associations
4	Perceived Greenwash ing	An extensive usage of sustainable materials and associations with organisations with similar objectives	- Maintain transparency in all sustainability practices - Provide detailed information about the upcycling process	Ensuring long term Employee satisfaction by adopting a niche

Sources: Team Analysis

A chronological roadmap outlining the implementation timeline of our recommended strategies for growth and success

The diagram consists of three green-bordered boxes arranged horizontally, connected by dashed lines. Each box contains an icon in a dashed orange circle, a title, and a description.

- Market Competition:** Icon shows three stylized figures and a magnifying glass. Description: "Showcasing when Craftopia would be able to **break even** and acquire **leadership** in the market".
- Regulatory complications:** Icon shows a clipboard with a checklist and a gavel. Description: "Showcasing when Craftopia would form associations with the government to **formalize** the sector".
- Transition to Target Pricing:** Icon shows a price tag and a coin. Description: "Showcasing the successful transition to adopting Target Pricing to help Craftopia **generate optimum sales**".



APPENDIX

APPENDIX: TAM SAM SOM CALCULATIONS



TAM SAM SOM - CORPORATE GIFTING IN THE SUSTAINABLE FASHION SPACE

Craftopia							
INR(Cr)		2023A	2024E	2025E	2026E	2027E	2028E
Corporate Gifting Industry India		12000.00	13020.00	14126.70	15327.47	16630.30	18043.88
CAGR(%)	8.50%						
Corporate Gifting in Sustainable Fashion(%)	15%						
Total Addressable Market(TAM)		1800.00	1953.00	2119.01	2299.12	2494.55	2706.58
Categories(% of TAM)							
Home and Kitchen	5%	90.00	97.65	105.95	114.96	124.73	135.33
Stationary	15%	270.00	292.95	317.85	344.87	374.18	405.99
Bags and Luggages	16%	288.00	312.48	339.04	367.86	399.13	433.05
Service Addressable Market(SAM)		648.00	703.08	762.84	827.68	898.04	974.37
Customized Products(% of SAM)	25%	162.00	175.77	190.71	206.92	224.51	243.59
Potential market share(%)	15%	24.30	26.37	28.61	31.04	33.68	36.54
Service Obtainable Market(SOM)		24.30	26.37	28.61	31.04	33.68	36.54

KEY DRIVERS FOR ASSUMPTIONS

80% of clients say they are more likely to do business with a company if it offers personalized experiences. (McKinsey)

8 out of 10 individuals want to buy environmentally-friendly gifts that send a positive message(KPMG)

<https://www.cxotoday.com/ashojoac/2022/10/The-corporate-gifting-trends-report-print.pdf>

<https://www.forbes.com/sites/pamdanziger/2021/09/01/the-242-billion-business-of-corporate-gifting-turned-from-a-routine-to-a-priority-in-the-pandemic/?sh=26a1f6be6ac2>

<https://www.thegivingtree.in/a-case-study-on-eco-friendly-corporate-gifting/#:~:text=The%20total%20size%20of%20personal,2%2C50%2C000%20crores%20today.>

<https://data.worldbank.org/indicator/NY.GDP.MKTP.CD?locations=IN>

<https://data.worldbank.org/indicator/NY.GDP.MKTP.CD?locations=Z4>

Indian sustainable fashion market is assumed to be 10% of the APAC market as GDP (India) / GDP (APAC) resembles the same

Estimated Market share Craftopia aims to capture for the new marketplace

APPENDIX:

TARGET PRICING AND IRR COMPARSION CALCULATIONS



TARGET PRICING ANALYSIS		
Average Order Value(AOV)	2000	Estimated Average values from survey analysis(KF Note - This is an industry metric to reverse engineer the average product offering value
Intended Gross Margin(%)	40%	Based on Industry Trends
COGS(By target pricing)	1200.00	By Target Pricing based on our industry analysis, Craftopia should sell the product offerings with an AOV of 2000 keeping its COGS at 120

IRR COMPARISON - PERSONAL GIFTING AND CORPORATE GIFTING									
Financials(In Crs)									
		Revenues	Expenses	Net Margin	Net Cashflows				
Craftopia		3	2.4	20%	0.6				
Startup X		3	2.7	10%	0.3				
Initial Funding		1							
Growth Rate of Corporate Gifting Industry(India)		8.50%							
Growth Rate of Gifting Industry(India)		3.40%							
		2023A	2024E	2025E	2026E	2027E	2028E		
Revenues		3.00	3.26	3.53	3.83	4.16	4.51		
Expenses		2.40	2.60	2.83	3.07	3.33	3.61		
Net Cashflows		0.60	0.65	0.71	0.77	0.83	0.90		
		2023A	2024E	2025E	2026E	2027E	2028E		
Revenues		3.00	3.10	3.21	3.32	3.43	3.55		
Expenses		2.70	2.79	2.89	2.98	3.09	3.19		
Net Cashflows		0.30	0.31	0.32	0.33	0.34	0.35		
Company Name	Initial Investment	2023A	2024E	2025E	2026E	2027E	2028E		IRR For Both
Craftopia Cashflows	-1.00	0.60	0.65	0.71	0.77	0.83	0.90		63%
Startup X Cashflows	-1.00	0.30	0.31	0.32	0.33	0.34	0.35		23%

APPENDIX: TARGET PRICING AND IRR COMPARSION CALCULATIONS



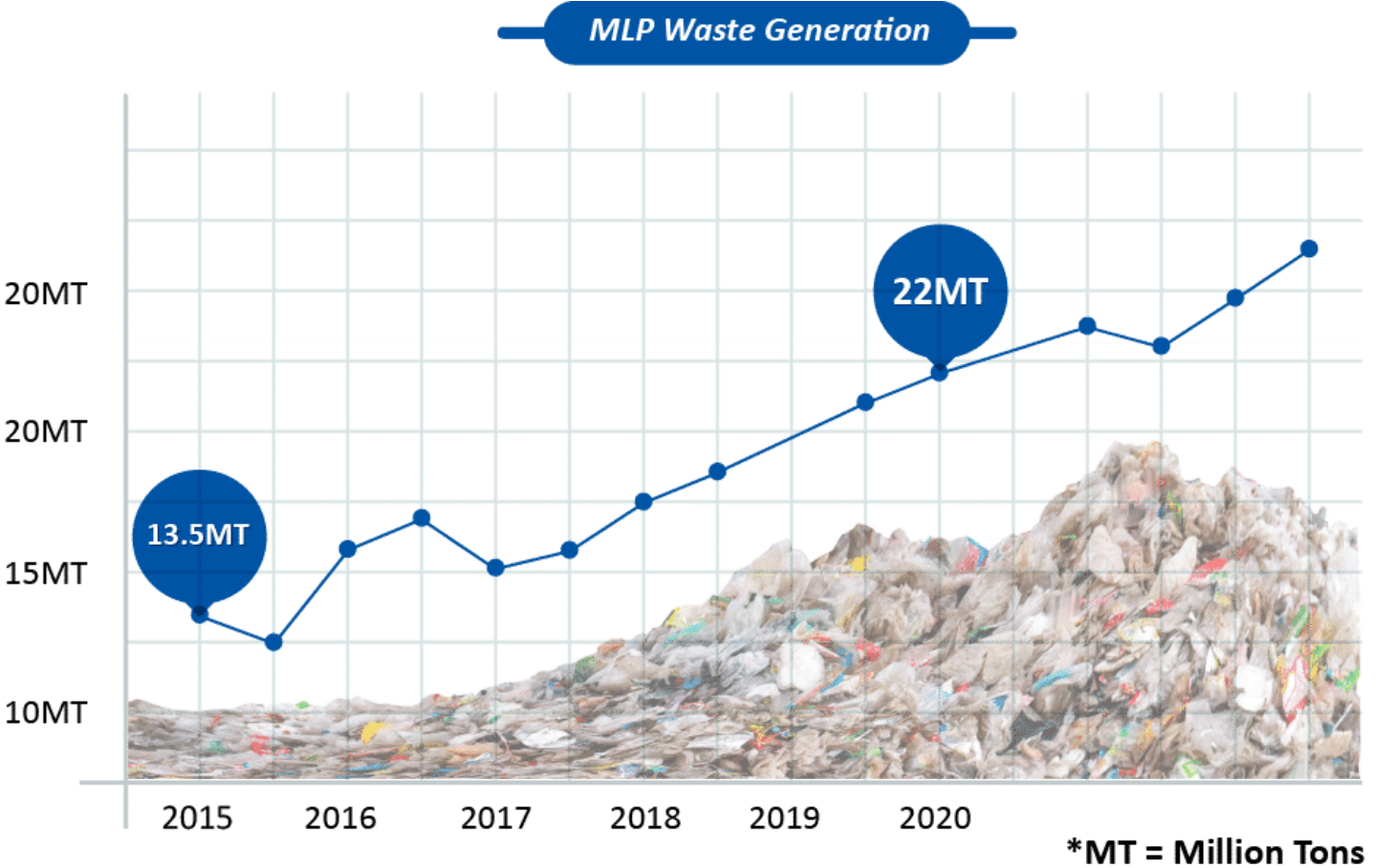
ASSUMPTIONS DRIVERS

<https://www.uschamber.com/co/good-company/launch-pad/startups-modernize-corporate-gifting-indust> *Initial Funding Source*
<https://growjo.com/company/Bestow> *One of the largest companies in USA*
<https://www.forbes.com/sites/pamdanziger/2021/09/01/the-242-billion-business-of-corporate-gifting-turned-from-a-routine-to-a-priority-in-the-pandemic/?sh=71079c6d6ac2>

USA Corporate Gifting Market(FY23)	\$283Bn	283000
Revenue Per Year of Pioneer Corporate Gifting Co	\$65Mn	65
Revenue Multiplier		0.02%
Indian Corporate Gifting Industry(In Cr)		12000
Craftopia's Revenue Run Rate(Bullish)		3

For the sake of simplicity Revenue(Craftopia)=Revenue(Startup X)

<https://www.giftsworldexpo.com/tycoons-of-the-gifting-industry/> *CAGR of Gifting Industry*
<https://timesofindia.indiatimes.com/blogs/voices/how-indian-corporate-gifting-segment-can-contribute-to-lower-carbon-f> *CAGR of Corporate Gifting Industry*



According to a **Federation of Indian Chambers of Commerce and Industry** study, it is estimated that the plastic-producing industry in **India** is estimated **to grow to 22 million tonnes (MT) a year by 2020** from 13.4 MT in 2015 and nearly **half of this is single-use plastic (majorly MLP)**.

APPENDIX: SUSTAINABILITY AND CSR – THE CHOICE OF LARGE MNCS

Sustainability is the theme for corporate gifting across India Inc this Diwali

By Prachi Verma, Brinda Sarkar & Lijee Philip, • Last Updated: Oct 23, 2022, 04:13 PM IST

SHARE FONT SIZE SAVE PRINT COMMENT



Just like corporate goals, corporate gifting across [India Inc](#) is getting more aligned towards sustainability this [Diwali](#).

A host of companies like [PepsiCo](#), [MakeMyTrip](#), [Livspace](#) and [Dunzo](#), among others, are focusing on sustainability and environment-

friendly gifting this year. With a large section of employees still in remote and hybrid working mode, experiential and utility-driven gifts have also picked up steam, executives at gifting companies like Ferns N Petals, [IGP.com](#) and Xoxoday told ET.

This year, PepsiCo India has partnered with a sustainable NGO - Mitti Cafe - for hand crafted, eco-friendly hampers. This NGO provides livelihoods for underprivileged people with disabilities. "The ecosystem we operate in matters to us and hence we chose to make this Diwali special not just for our employees, but also for communities at large," said Pavitra Singh, CHRO, PepsiCo India.

Large MNCs too, want to inculcate the values of sustainability and social responsibility towards the underprivileged. This aligns with the vision and mission of Craftopia and gets fulfilled by its venture into the sustainable corporate gifting space.

APPENDIX: SYNERGIES WITH MYNTRA and GIFTING OCCASIONS AS PER A SURVEY

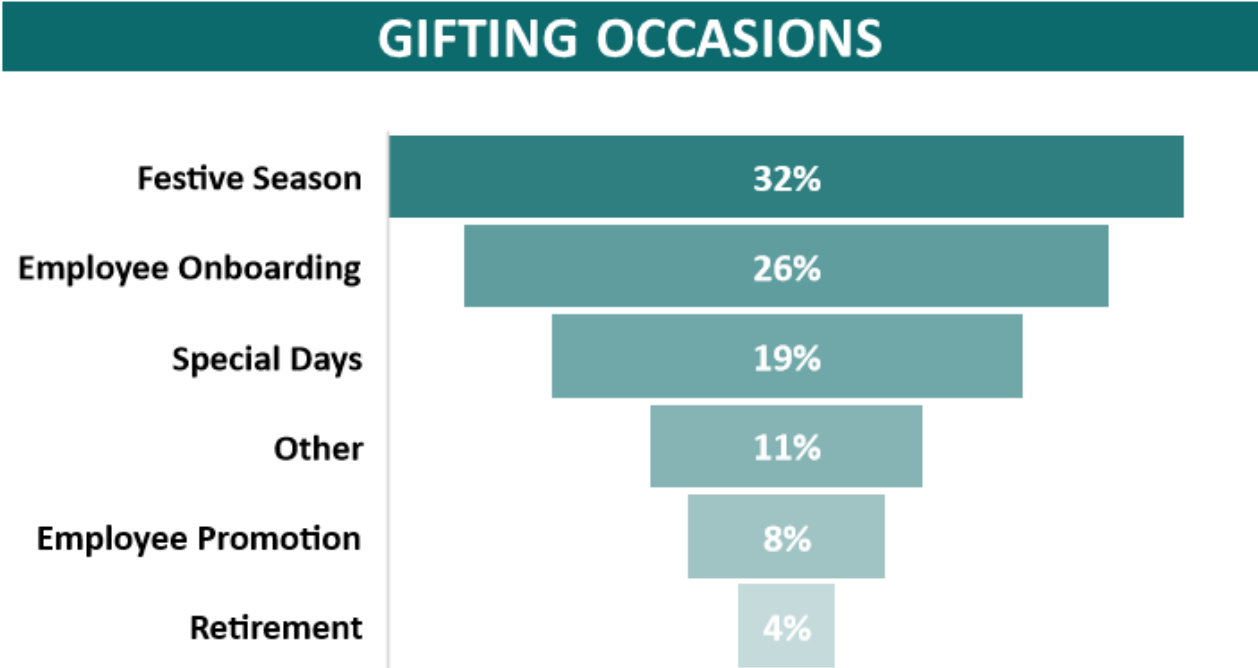


Myntra (Image: Company website)

Flipkart-owned fashion e-tailer Myntra has partnered Textile Ministry to work directly with weavers and promote the handloom industry.

Myntra, along with some of its partner brands, will work on bringing artisans and their products online to provide them with access to new customers and opportunities, Myntra said in a statement.

These products will retail on Myntra via a dedicated online store, creating a one-stop shop for handloom products, it added.



INDUSTRY ANALYSIS: CORPORATE GIFTING INDUSTRY

The industry has seen a substantial amount of growth in the past and poses a promising future outlook

According to Technopak, India's leading Management Consultants, the total size of Indian corporate & personal gifting market put together is about 250,000 crore today. Of this, corporate gifting market in India is estimated to be 12,000 crore and is growing at over 200% per annum.

According to the report, with the global work landscape shifting to hybrid and remote models, corporate gifting has evolved as a mechanism for businesses to stay connected with their workforce, clients, and partners. Additionally, B2B merchandising has become an integral part of corporate gifting as brands are increasingly using it to personalize their gifts. Corporate gifting has seen a massive turnaround in terms of gifting frequency and spending led by changed work models, shifts in gifting behaviour and emerging gifting occasions.

In 2023, we can expect to see a rise in the number of companies offering eco-friendly and [sustainable corporate gifts](#) in India. Desk plants, reusable straws and tumblers, beeswax wraps, and even plantable seed paper can be good options. Not only will your recipients be doing their part for the environment, but they'll also think you're a pretty cool company for caring about the planet.

Corporate gifting has gained strategic importance for businesses in not just appealing to clients but also top talent. As such, companies are increasing their gifting budget by 25 per cent. While the popular per-gift budget range is Rs 500 - Rs 2000, companies are not shying away from shelling big bucks for gifting. 17 per cent of respondents stated that their gifting budget is between Rs 2000 - Rs 5000 per employee or client per gift. 8 out of 10 respondents want to purchase environment-friendly gifts. This has companies moving to a minimum to zero-waste gifting and packaging options. It also adds to the company's sustainability stand.

Sources: BusinessWorld, Techsci research Report